



The Economic Advisory Council to the Prime Minister (EAC-PM) provides inputs to the government on economic and related issues. Veteran economist S. Mahendra Dev, Chairman, EAC-PM, has had a bird's-eye view of economic developments over the years. He has a vast experience in public policy, with interest areas including development economics, agricultural economics and macroeconomics.

During his one year as the head of the EAC-PM, Mahendra Dev has advised the government on various issues around sustaining economic growth, which has been impacted by 50% tariffs by the US and now the West Asia crisis.

Before this, he was Director and Vice Chancellor at the Indira Gandhi Institute of Development Research, Chairman, Commission for Agricultural Costs and Prices, Ministry of Agriculture and Acting Chairman, National Statistical Commission.

In an interview with *Business Today*, he shares his thoughts on the current geopolitical turmoil and its impact on the Indian economy. He underlines the economy is resilient to face the West Asia crisis but notes that the conflict highlights the need for a risk management-based approach. This entails mapping and monitoring key economic vulnerabilities—particularly in areas such as energy, food, fertilisers, metals and critical minerals, and

proactively addressing both supply disruptions and price volatility.

Edited excerpts:

Q: What are the key ramifications of the West Asia conflict on the Indian economy?

A: The West Asia conflict has been a supply shock, with prices of crude oil, petrochemicals, fertilisers and LNG (liquefied natural gas) rising substantially. It has also added to global uncertainty and risk-off sentiment among investors, seen in rising bond yields globally.

There will be pressures on inflation, current account deficit, capital account and government finances. However, the Indian economy is resilient and alert to face the West Asian crisis as macro fundamentals remain strong amidst global uncertainty. The average GDP growth rate of the last three years is around 7.3%, and stood at 7.7% in FY26. For FY27, the Reserve Bank of India (RBI) estimate is at 6.6%.

“While supply conditions remain tight, an easing of hostilities would lead to a relatively quick rebound, as prices ease towards the second half of the year”

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CPI (consumer price index) inflation in April was moderate at 3.48%, while in May it was at 3.93%, although WPI (wholesale price index) has shown an uptick. RBI projections indicate CPI inflation of 5.1% in FY27, with core inflation at 4.7%. The price of crude has eased from the levels seen in April 2026 to \$83 in mid June 2026. Fiscal deficit is 4.4% in FY26 and will face some pressure in FY27. The combined debt to GDP ratio (Centre and states) is around 84%. This is among the lowest compared to the high debt of many other countries.

Exports of both merchandise and services have done well, as the recent quick estimates data showed, which is helping the current account. While supply conditions remain tight, easing of hostilities